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A GUIDE FOR SMALL & MID-SIZED BUSINESSES · 2026

EU AI Act: what changes for your business

You already use AI: a chatbot, a voice agent, a text or image tool. The European law applies to you **now**, not "someday". See what's in force, what actually affects you, and what it could cost you.

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A clear map, from "I don't know what applies" to "I know what to ask". Reads in 15 minutes.

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01 · WHY YOU'RE READING THIS

Clear-headed, not hyped.

If your business has put a chatbot on its website, uses a voice agent for calls, or simply uses ChatGPT/Claude for copy and customer replies, you're already within the scope of Regulation (EU) 2024/1689, the so-called EU AI Act.

This law is not in the future. Parts of it have applied since February 2025, and the most critical deadline for most small and mid-sized businesses, the transparency rules, **took effect on 2 August 2026**.

The good news: for the vast majority of SMBs, the AI Act does not mean heavy bureaucracy. Most uses of AI are considered low or minimal risk. The point isn't whether you'll "pass an audit". It's that a few specific obligations apply to you, and being unaware of them creates a risk you can easily avoid.

What you'll get from this guide

A clear picture: which risk category you fall into, which deadlines affect you, what the 3 obligations are that probably already bind you, and a quick self-check to see where you stand.

This guide is informational and does not constitute legal advice. Its goal is to take you from "I don't even know what applies" to "I know what to ask".

02 · THE RISK PYRAMID

Where your use of AI falls

The AI Act does not treat all AI systems the same. It classifies them into four risk levels, and your obligations depend entirely on where you sit.

Level	What it means	Examples
Unacceptable	Prohibited practices, outlawed	Social scoring, manipulation, emotion recognition at work
High	Strict obligations before use	AI for hiring, loan assessment, biometrics
Limited	Transparency obligations	Chatbots, voice agents, deepfakes, AI text
Minimal	No obligations	Spam filters, AI in games, basic tools

> **Here's where you are (most likely)**
>
> An informational chatbot or voice agent that answers customers falls under "limited risk". You don't need certifications or a conformity assessment. You need **transparency**. That changes everything about what you have to do.

When you move up a category without noticing

The same tool can become "high-risk" depending on use. An AI that filters CVs for hiring, grades students, or assesses creditworthiness moves into high risk, with entirely different obligations. Many SMBs don't realise that an "innocent" HR tool puts them there.

The most common mistake: assuming that "since I don't build the AI myself, it doesn't concern me". It does, just in a different role. We explain why in section 04.

03 · THE TIMELINE

The dates that matter for you

The AI Act didn't switch on all at once. It applies in phases. And in May 2026 the so-called "AI omnibus" (a simplification package) pushed back several of the heavier obligations, which buys you time, but doesn't undo what's already in force.

Date	What applies	Status
Aug 2024	The regulation enters into force	Active
Feb 2025	Prohibited practices + AI literacy obligation	Already in force
Aug 2025	Rules for general-purpose models (GPAI), governance, fines	Already in force
2 Aug 2026	**Transparency rules — Article 50 (chatbots, deepfakes)**	**Already in force**
Dec 2027	High-risk systems (hiring, biometrics, etc.)	Postponed
Aug 2028	High risk embedded in products	Postponed

The line to hold

Two things **bind you already**: AI literacy (since Feb 2025) and chatbot transparency (since 2 August 2026). Everything else is 2027–2028, and affects fewer SMBs.

The AI omnibus was politically agreed on 7 May 2026 and, besides pushing back deadlines, extended the SME simplifications to "small mid-cap" companies and added new prohibitions (e.g. "nudification" apps).

04 · WHAT ACTUALLY AFFECTS YOU

The 3 obligations that already bind you

1 · AI literacy — your staff must understand what they're holding

Since February 2025, anyone using AI in a professional context must ensure a "sufficient level of AI literacy" among their staff (Article 4). In plain terms: the people handling your AI must understand what it does, where it gets things wrong, and when not to trust it. No certification is required. A documented effort is.

2 · Transparency — the user must know they're talking to a machine

Since 2 August 2026 (Article 50), a chatbot or voice agent that communicates with people must disclose that it is AI, unless it's obvious. AI-generated content (images, audio, deepfakes) must be labelled. It's one of the simplest obligations, and one of the easiest to forget.

3 · Roles — "provider" or "deployer"?

This is where almost every SMB gets confused. The law separates who is responsible for what:

Provider	Deployer — you
Builds or places the AI system on the market. E.g. the company that built your chatbot.	Uses the system in your business, under your responsibility. Most SMBs are here.

As a deployer you have lighter obligations than the provider, but not zero: human oversight, use in line with the instructions, and transparency toward end users. Who you are completely changes what you owe.

Caution: if you substantially modify an AI system or put it out under your own name, you may turn from a deployer into a provider, with all the heavier obligations. The line is thinner than it looks.

05 · TWO LAWS, ONE SYSTEM

AI Act & GDPR: don't confuse them

"Since I'm fine with GDPR, I'm fine with the AI Act too, right?" No. They are two different laws that, in practice, apply at the same time to the same system.

GDPR

Protects personal data. It asks: "Do you have the right to process this data and are you protecting it properly?"

AI Act

Regulates the AI system itself. It asks: "Is it safe, transparent and fit for the use you put it to?"

Your customer-facing chatbot touches both: it processes personal data (GDPR) and it is an AI system with a transparency obligation (AI Act). Compliance with one does not cover the other.

Where they intersect in practice

Policies: if you collect personal data through an AI agent, you probably need both an updated privacy policy and an AI disclosure. The two often have to talk to each other, and that's where most SMBs lose the thread.

Legal basis for processing: if customer data feeds or "trains" your AI, you need a GDPR basis. Using AI doesn't create one on its own.

Transparency: GDPR wants the user to know how their data is used; the AI Act wants them to know they're talking to a machine. Two notices, not one.

Automated decisions: GDPR (Article 22) already restricts decisions that are "solely automated" with significant effects, something your AI may trigger without you knowing.

06 · THE REAL COST

Fines — and the risk nobody tells you about

The AI Act's fines sound enormous, and are often played up for shock value. Let's look at what actually applies to an SMB.

Violation	Maximum
Prohibited practices	up to €35M or 7% of global turnover
Non-compliance (e.g. transparency, high risk)	up to €15M or 3%
Incorrect information to authorities	up to €7.5M or 1%

> **The detail that matters for SMBs**
>
> For large companies the cap is "whichever is **higher**". For SMBs and startups, the regulation explicitly says "whichever is **lower**". In other words, the fine risk is proportionate to your size, not catastrophic.

The risk that isn't a fine

The biggest practical risk for an SMB isn't the regulator's fine. It's **civil liability toward your customer**, and it already applies, independent of the AI Act.

> **The Air Canada case (2024)**
>
> The airline's chatbot "invented" a refund policy that didn't exist. When the customer claimed it, the tribunal ruled that **the company is liable for whatever its chatbot says**, even if the AI made it up. You don't get off the hook because "the bot said it".

That's the lesson that counts: an AI that gives a wrong price, a wrong term, or a wrong promise binds your business. Complying with the AI Act and properly "shielding" your agents isn't bureaucracy. It's **risk management**.

07 · CLEARING THE NOISE

5 AI Act myths that cost money

There's a lot of noise around the AI Act. Some downplay it, others spread panic. Five of the most common myths, and what's actually true.

Myth 1 · "It only affects big tech companies."
Wrong. If you use AI in a professional context, you're a "deployer" and you have obligations, regardless of your size.

Myth 2 · "I don't build the AI, so I'm not liable."
Wrong. You're liable for how you use it and for what it tells your customers (see Air Canada). The provider has its own liability, not all of it.

Myth 3 · "I have years before it applies."
Wrong. AI literacy has applied since February 2025; transparency **has applied since 2 August 2026**. Only high risk moved to 2027–2028.

Myth 4 · "I'll get a huge fine on the first mistake."
Overblown. For SMBs the cap is the lower amount, and authorities weigh good faith and remediation. The realistic risk is civil liability, not a mega-fine.

Myth 5 · "I'm GDPR-compliant, so I'm covered."
Wrong. Different law, different obligations. They apply in parallel (see section 05).

08 · SELF-CHECK

7 questions: where do you stand today?

Answer honestly. Every "no" or "I don't know" is a gap worth closing, before a customer, a competitor, or an authority finds it.

1. Do you know which AI Act risk level each AI tool you use falls into?
2. Does your chatbot/voice agent clearly state that it is AI?
3. Does your staff have basic training in what the AI they handle does, and what it doesn't do reliably?
4. Do you know whether you're a "deployer" or a "provider" for each of your AI systems?
5. Is there a person who oversees what your AI tells customers?
6. Do you have a written agreement with your AI provider on who is liable if it gives a wrong answer?
7. If your AI gave a customer a wrong, binding answer tomorrow, do you know who pays?

> **If you struggled with 2 or more**
>
> You're not the exception, you're the rule. Most SMBs that adopted AI fast fell behind on shielding. The good news: closing these gaps is clearly cheaper and faster than you think.

09 · THE LIMITS OF THIS GUIDE

What we didn't tell you here — on purpose

This guide gave you the map: where you are, what's in force, what affects you. What doesn't fit in an ebook, because it depends on your specific case, is the route:

1. How to classify each of your AI tools in practice and document the classification.
2. Exactly what your contract with your provider should say so that liability is allocated correctly.
3. How to set up your chatbot's transparency to cover Article 50 without ruining the customer experience.
4. How to build a light, realistic AI literacy programme for an SMB, not enterprise waffle.
5. How to "shield" your agents so they don't give binding or inaccurate answers.

This isn't theory. It's the work that turns the AI Act into a **competitive advantage**, because a customer trusts a business that knows what it's doing with its AI more readily.

> **The philosophy behind sphragisai.com**
>
> "Trust, sealed.." We don't sell worry, we build defence. The goal is for you to use AI with **confidence**, knowing you're covered.

THE NEXT STEP

Let's look at your case.

You have the map. Now you need someone who knows the route for your own business, not a generic template.

1 **Mapping session (45 min) — free**
We look together at which AI tools you use and where the real risk is.

2 **Compliance & shielding map**
You get a concrete, prioritised list of actions: what's first, what's next.

3 **Implementation without drama**
Chatbot transparency, the right contracts, AI literacy for your team.

BOOK YOUR FREE CHECK

→ **sphragisai.com/en/#contact**

Legal notice: This is informational material and does not constitute legal advice nor guarantee compliance. The information concerns Regulation (EU) 2024/1689 as in force in **August 2026** and may change. For your own case, an individual assessment and, where needed, review by a lawyer are required. sphragisAI provides advisory services, not legal services.

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